

Paradiem

The Morning Brief

SEPTEMBER 4, 2026

Pause Signal

Waller's dovish pivot reset the front-end, drove sharp gains in crypto and financials, and left the August payrolls print as the pivot for the September 15–16 FOMC distribution.

S&P 500 (SPY, THU CLOSE)	HOOD (THU CLOSE)	IBIT (BITCOIN ETF)	GOLD (GLD)	FEAR & GREED (CNN)
\$773.17 · ↑1.05%	\$124.72 · ↑16.57%	\$46.35 · ↑5.85%	\$410.22 · ↑1.85%	Low-to-Mid 40s est. · Improving from Fear

Markets — Fed Governor Waller’s September 3 Signal That He Would Lean Toward Holding Rates Steady if August Inflation Cooled Pushed CME FedWatch September Hike Odds From Approximately 66% Toward Approximately 54.6% and Triggered One of the Stronger S&P Sessions in Recent Weeks (SPY ↑1.05% at \$773.17) as HOOD Advanced ↑16.57%, IBIT ↑5.85%, and Financials (XLF) Led at ↑1.56%; the ISM Services Print at 55.4 (vs 54.3 Consensus) With Business Activity 61.7 and New Orders 60.9 Ran Hot but the Tape Largely Absorbed It, Sequencing the August Employment Report at 8:30 AM ET Today as the Pivot

THURSDAY’S SESSION: WALLER’S DOVISH RECALIBRATION RESET THE FRONT-END AND THE RECENT RATE-ANXIETY TAPE WITH FINANCIALS, DISCRETIONARY, AND TECHNOLOGY LEADING — GOLD AND SILVER RAN WITH THE FRONT-END REPRICING EVEN AS ENERGY HELD MODESTLY LOWER DESPITE WTI ↑0.67%, AND THE DIGITAL-ASSET COMPLEX PROVIDED THE LARGEST CROSS-ASSET SIGNAL ON THE RATE-PATH RESET

Per data drop, the S&P 500 (SPY) closed ↑1.05% at \$773.17, the Nasdaq (QQQ) ↑1.19% at \$717.67, the Dow (DIA) ↑1.19% at \$536.93, and the Russell 2K (IWM) ↑0.40% at \$295.19 as the UVXY VIX proxy compressed ↓3.12% to \$17.41 — a broad-based rally led by rate-sensitive complexes rather than a small-cap-led risk-on rotation. Per data drop sector reads, Financials (XLF) led ↑1.56% at \$58.56, Discretionary (XLY) ↑1.39%, Technology (XLK) ↑1.29%, Real Estate (XLRE) ↑1.19%, and Industrials (XLI) ↑1.03%, while Energy (XLE) closed ↓0.74% at \$64.62 despite WTI (USO) ↑0.67% at \$142.09 and Materials (XLB) ↓0.62% on a rare energy-and-metals sector split from precious metals. Per CNBC and Bloomberg coverage of the Waller Thursday remarks, Federal Reserve Governor Christopher Waller signaled a leaning toward holding rates steady at the September 15–16 FOMC if the August CPI release on September 11 shows continued core-inflation moderation — citing the three-month annualized core PCE reading of approximately 3.05% in July versus 4.76% in February as notable improvement, and characterizing tariff-related price effects as largely reflected in prior prints. Per CNBC and Local10 coverage of the CME FedWatch response, September hike probabilities fell approximately 12 percentage points to near approximately 54.6% following the remarks, from roughly 66% in the post-Warsh window. Per data drop commodity reads, Gold (GLD) surged ↑1.85% to \$410.22 and Silver (SLV) ↑2.51% to \$60.55 on the front-end reset, and per data drop, TLT held roughly flat at ↑0.15% at \$82.07 — a duration signal notably muted relative to the front-end move. Per Investrade and Yahoo Finance coverage of the Thursday session, the ISM Services PMI printed at 55.4 (versus 54.3 sell-side consensus) with the business activity index at 61.7 and new orders at 60.9 — the strongest business-activity reading since 2022 and the strongest new-orders pace since early 2023 per ISM — and initial jobless claims came in at approximately 206,000 (versus 205,000 consensus, prior 204,000). For FCI positioning, the composition — a Waller-driven front-end reset that turned the recent rate-anxiety tape, a broad-based rally led by financials and technology rather than small caps, and a precious-metals bid running with the front-end move — sequences the August employment report at 8:30 AM ET this morning as the direct test of the softening-labor narrative that would validate the September hold thesis.

S&P 500 (SPY, THU CLOSE)	\$773.17 · ↑1.05%
NASDAQ (QQQ)	\$717.67 · ↑1.19%
FINANCIALS (XLF)	\$58.56 · ↑1.56%
ENERGY (XLE)	\$64.62 · ↓0.74%
HOOD	\$124.72 · ↑16.57%
IBIT / ETHA	\$46.35 ↑5.85% / \$19.02 ↑5.37%
GOLD (GLD)	\$410.22 · ↑1.85%
CME SEPT HIKE ODDS	~54.6% · from ~66% pre-Waller

TODAY'S CADENCE: THE AUGUST EMPLOYMENT SITUATION REPORT AT 8:30 AM ET IS THE MARQUEE PRINT OF THE WEEK AND THE DIRECT TEST OF THE WALLER SOFTENING-LABOR FRAME — SELL-SIDE CONSENSUS SITS NEAR APPROXIMATELY ↑53–58K NONFARM PAYROLLS FOLLOWING JULY'S REVISED ↓23K, WITH THE UNEMPLOYMENT RATE CONSENSUS AT APPROXIMATELY 4.1% AND AVERAGE HOURLY EARNINGS GROWTH CONSENSUS AT APPROXIMATELY 3.0% YEAR OVER YEAR (VERSUS 3.2% PRIOR); THE SEPTEMBER 15–16 FOMC SITS ELEVEN CALENDAR DAYS FROM TODAY'S CASH OPEN AND THE AUGUST CPI PRINT ON SEPTEMBER 11 SEQUENCES AHEAD OF THE RATE DECISION

Per Investing.com, FXStreet, and Wall Street Journal survey coverage cited on FinancialJuice, the August employment

situation report publishes at 8:30 AM ET with sell-side consensus centered near approximately ↑53,000–58,000 nonfarm payrolls versus July's revised print of approximately ↓23,000, an unemployment rate consensus near approximately 4.1% (unchanged from July), and average hourly earnings growth consensus near approximately 3.0% year over year (from approximately 3.2% prior). Per Federal Reserve calendar, the August CPI release on September 11 (Thursday) sequences into the September 15–16 FOMC as the direct test of the Waller pause-scenario framework, and per FXStreet coverage of the pre-print options tape, a strong payrolls read could reverse a portion of the front-end reset while a soft print would compound the pause-scenario probability. For FCI positioning, the composition — a labor print with wide sell-side dispersion running from approximately ↓25K to ↑102K per FinancialJuice coverage, a Fed governor signaling potential September hold pending August CPI, and an active Middle East physical-supply variable that continues to weigh on the front-end curve — sequences the sleeve read into the September rate-decision window through three orthogonal axes.

A session that repriced the front-end on a Fed official's conditional pause signal ahead of the marquee labor print tends to reflect a rate-path option rather than a fait-accompli rotation. Discipline over impulse.

Geopolitics — The US-Iran Kinetic Exchange Continues With Vice President Vance Publicly Declining to Characterize the Conflict as a “War” or Offer an End-Timeline as the Pentagon Probes Whether Monday’s Strike on an Iranian Wedding Was a Direct US-Munition Hit Per Reuters Coverage; South Korea Is Publicly Reviewing Military Options for the Strait of Hormuz Following the Monday-Evening Tanker Strike on a Korean-Owned Vessel, US Diesel Prices Reached a Record High per Reuters, and the September 24 Trump-Xi Washington Summit Sits Twenty Calendar Days Ahead of the November 10 Kuala Lumpur Trade-Truce Expiry

MIDDLE EAST SEQUENCE: VANCE PUBLICLY DECLINED TO CHARACTERIZE THE US-IRAN EXCHANGE AS A “WAR” OR OFFER AN END-TIMELINE, THE PENTAGON IS PROBING WHETHER THE MONDAY STRIKE ON AN IRANIAN WEDDING WAS A DIRECT US-MUNITION HIT PER REUTERS ANALYSIS, AND SOUTH KOREA IS PUBLICLY REVIEWING MILITARY OPTIONS FOR THE STRAIT OF HORMUZ FOLLOWING MONDAY-EVENING’S TANKER STRIKE — THE PHYSICAL-SUPPLY COMPOUND HELD WITH WTI ↑0.67% AND US DIESEL PRICES REACHING A RECORD HIGH PER REUTERS

Per Reuters coverage carried in the data drop headlines, Vice President Vance publicly declined to characterize the reactivated US-Iran military exchange as a war and declined to offer a timeline for its end, and the Pentagon is investigating whether the Monday-evening strike on an Iranian wedding party — described by earlier CBS News coverage as having caused civilian casualties — was a direct hit by a US-supplied munition per Reuters analysis of debris imagery. Per Reuters coverage carried in the data drop headlines, South Korea is publicly reviewing military options for the Strait of Hormuz following the Monday-evening projectile strike on the South Korean-owned tanker, an incremental widening of the multilateral response perimeter that per CENTCOM coverage cited in prior briefs followed a US strike sequence on Iranian air defenses, radar systems, maritime assets, mine-laying capabilities, and communications infrastructure across Bandar Abbas, Qeshm Island, Sirik, Konarak, Jask, Asaluyeh, and Ahvaz. Per data drop commodity reads, WTI (USO) held ↑0.67% at \$142.09 and Brent (BNO) ↑0.29% at \$55.90 as the physical-supply variable held Tuesday’s repricing roughly intact, and per Reuters coverage carried in the data drop headlines, US diesel prices reached a record high as the compounded conflict-and-supply dynamic tightened the middle-distillate complex. For FCI positioning, the composition — an active kinetic exchange with expanded multilateral response geography, a diesel-price signal at record highs, and an oil complex sitting above \$140 (USO) as the sector paradoxically compressed on Thursday — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of the physical-supply variable, the Fed pause-scenario probability, and the labor print at 8:30 AM ET.

THE FED-INDEPENDENCE OVERHANG FROM CHAIR WARSH’S JACKSON HOLE REFERENCE PERSISTS ALONGSIDE THE WALLER-WARSH DISPERSION NOW VISIBLE ON THE FOMC AS THE SEPTEMBER 24 TRUMP-XI WASHINGTON SUMMIT SITS TWENTY CALENDAR DAYS AHEAD OF THE NOVEMBER 10 KUALA LUMPUR TRUCE EXPIRY; THE ADMINISTRATION’S INCREMENTAL 7.5% OVERCAPACITY TARIFF ON CHINESE GOODS CONTINUES TO BE ENGINEERED AROUND THE XI STATE VISIT

PER PRIOR BRIEF COVERAGE OF THE FED-INDEPENDENCE AXIS, CHAIR WARSH’S JACKSON HOLE REFERENCE TO A TREASURY-FED BALANCE-SHEET TASK FORCE CONTINUES TO SIT ALONGSIDE THE BESENT-WARREN PUBLIC EXCHANGE ON JAPANESE YEN INTERVENTION POSTURE; WALLER’S THURSDAY REMARKS INTRODUCE VISIBLE DISPERSION ON THE FOMC

INTO THE SEPTEMBER 15–16 RATE-DECISION WINDOW AND, PER CSIS TRUMP-XI 2026 SUMMITS PROGRAM COVERAGE, THE SEPTEMBER 24 XI WASHINGTON STATE VISIT SITS TWENTY CALENDAR DAYS FROM TODAY’S CASH OPEN. PER BLOOMBERG AND FORTUNE COVERAGE CARRIED FORWARD FROM PRIOR BRIEFS, THE ADMINISTRATION CONTINUES TO PREPARE AN INCREMENTAL 7.5% OVERCAPACITY TARIFF ON CHINESE GOODS DESIGNED TO BRING THE AGGREGATE US-CHINA TARIFF BURDEN TOWARD THE ROUGHLY 20% LEVEL BEIJING HAS SIGNALLED AS CONSISTENT WITH THE CURRENT TRUCE, WITH THE ANNOUNCEMENT ENGINEERED AROUND THE SEPTEMBER 24 XI

STATE VISIT AND THE NOVEMBER 10 KUALA LUMPUR TRUCE EXPIRY SITTING FURTHER OUT. FOR FCI POSITIONING, THE COMPOSITION — A VISIBLE FOMC DISPERSION (WARSH HAWKISH, WALLER CONDITIONALLY DOVISH), AN ACTIVE IRAN PHYSICAL-SUPPLY VARIABLE, AND AN ADVANCING US-CHINA TARIFF TRACK — EXTENDS THE TRADE-AND-GEOPOLITICAL COMPOUND THE SLEEVE HAS BEEN READING THROUGH THE THIRD QUARTER INTO THE FOURTH.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN AGAINST RUSSIAN REFINERIES CONTINUES IN THE BACKGROUND AS RUSSIAN REFINING SITS NEAR MULTI-DECADE LOWS AND THE DIESEL EXPORT BAN REMAINS EXTENDED — THE TWO-SIDED PHYSICAL-FRICTION EXPRESSION NOW RUNS WITH THE MIDDLE EAST AXIS FIRMLY AT THE FRONT OF THE BOOK AND US DIESEL PRICES AT RECORD HIGHS PER REUTERS

Per prior brief coverage of the Ukrainian deep-strike campaign carried forward through the Thursday session, Ukrainian forces continue the deep-range refinery campaign that struck the Kirishi (Leningrad Oblast) refinery over the prior weekend — the country's second-largest by capacity with an approximate 20-million-tonne annual processing capacity — and per prior brief coverage citing Moscow Times, Russian oil refining has fallen to approximately 3.8 million barrels per day, approaching the lowest level in more than two decades. Per Ukrainska Pravda coverage of the Russian policy response, the Russian diesel export ban remains extended. Per Reuters coverage carried in the data drop headlines, US diesel prices reached a record high on the compounded conflict-and-supply dynamic — a middle-distillate signal that runs alongside the Ukraine-Russia refinery track and the Iran-side physical-supply variable. For FCI positioning, the composition — a two-sided physical-friction expression with the Middle East axis firmly at the front of the book against a Ukraine-Russia refinery track that continues in the background and a US-diesel record-high middle-distillate signal — keeps the FCI energy sleeve reading through the intersection of physical supply, the Waller pause-scenario probability, and the September rate-hike distribution.

SECTION 03

On Our Radar

1. Robinhood (HOOD, FCI Growth-Hybrid Sleeve) Closed ↑16.57% at \$124.72 Thursday — One of the Largest Single-Session Moves in the Sleeve This Cycle — on a Composite of the Waller Front-End Reset, Rate-Sensitive Capital-Markets Beta, and Company Disclosure That the Robinhood Trust Product Launched in August Has Already Attracted More Than \$150 Million in Client Assets per CEO Commentary Reported by Yahoo Finance; the Move Ran Alongside a Broad Crypto-Beta Surge Including MARA ↑10.79%, HUT ↑9.18%, IBIT ↑5.85%, and ETHA ↑5.37% as Bitcoin Traded Near \$80,000. Per data drop, HOOD closed ↑16.57% at \$124.72 with an intraday range of \$113.04–\$124.88 on the composite Waller-driven front-end reset (rate-sensitive capital-markets beta) and per Yahoo Finance coverage of CEO Vlad Tenev commentary, the Robinhood Trust product launched in August has attracted more than \$150 million in client assets since inception. Per data drop, the crypto-beta complex rallied sharply alongside HOOD: MARA closed ↑10.79% at \$11.60, HUT ↑9.18% at \$88.09 (per Benzinga coverage, Hut 8 separately announced Opti9 acquired its Canadian managed-cloud business on undisclosed terms), IBIT ↑5.85% at \$46.35, and ETHA ↑5.37% at \$19.02 as Bitcoin traded near approximately \$80,000 per Benzinga coverage of the crypto tape. Per data drop, NOW closed ↑6.49% at \$145.59 as the AI-software sleeve names absorbed the front-end reset, and per data drop, Nvidia (NVDA) closed ↑1.80% at \$228.45 as the semiconductor complex held the AI-software layer bid. For FCI positioning, the composition — a rate-driven capital-markets and crypto-beta surge coincident with company-specific product-adoption disclosure at HOOD — keeps the Growth-Hybrid sleeve reading through the intersection of the Fed-path variable, the digital-asset sleeve (IBIT, ETHA), and the incremental Waller pause-scenario probability.

2. The August Employment Situation Report Publishes at 8:30 AM ET This Morning as the Marquee Test of the Waller Softening-Labor Frame; Sell-Side Consensus Sits Near Approximately ↑53–58K Nonfarm Payrolls Versus July's Revised ↓23K, With Unemployment Rate Consensus at Approximately 4.1% and Average Hourly Earnings Growth Consensus at Approximately 3.0% Year Over Year (Versus 3.2% Prior); the Sell-Side Dispersion Runs From Approximately ↓25K to ↑102K per FinancialJuice Coverage — an Unusually Wide Distribution per FinancialJuice Coverage. Per Investing.com, FXStreet, and Wall Street Journal survey coverage cited on FinancialJuice, the August employment situation report publishes at 8:30 AM ET with sell-side consensus

centered near approximately $\uparrow 53,000$ – $58,000$ nonfarm payrolls versus July's revised print of approximately $\downarrow 23,000$, an unemployment rate consensus at approximately 4.1% (unchanged from July), and average hourly earnings growth consensus near approximately 3.0% year over year (from approximately 3.2% prior); the sell-side dispersion runs from approximately $\downarrow 25K$ to $\uparrow 102K$ per FinancialJuice coverage. Per CME FedWatch tracking cited on CNBC and Local10 coverage of the Waller Thursday remarks, September rate-hike probabilities sit near approximately 54.6% following the Waller pivot, from roughly 66% in the post-Warsh window — a distribution that the payrolls print will directly test alongside the August CPI release on September 11 (Thursday) sequencing into the September 15–16 FOMC. For FCI positioning, the composition — a payrolls print with unusually wide sell-side dispersion, a Fed governor signaling potential September hold pending CPI, and an active Middle East physical-supply variable — keeps the sleeve reading through three orthogonal axes ahead of the rate decision eleven calendar days out.

3. S&P Global (SPGI, FCI Dividend-Strategy Sleeve) Closed $\uparrow 4.37\%$ at \$450.58 Thursday, a Notable Single-Session Bid in the Sleeve, on Composite Rate-Sensitive Financial-Services Beta and Fresh Coverage Cited on Yahoo Finance of an Ares-and-WisdomTree Alternative-Data Announcement; TEL Rebounded $\uparrow 3.56\%$ and SSNC $\uparrow 2.52\%$ as the Dividend Sleeve Absorbed the Financials-Sector Bid With XLF $\uparrow 1.56\%$ Leading All Sectors. Per data drop FCI Dividend-Strategy sleeve reads, SPGI closed $\uparrow 4.37\%$ at \$450.58 with an intraday range of \$437.68–\$450.66, TEL $\uparrow 3.56\%$ at \$209.41 (retracing prior weakness), SSNC $\uparrow 2.52\%$ at \$84.63, and PCAR $\uparrow 1.95\%$ at \$124.51 as the sleeve absorbed the composite financial-services and rate-sensitive bid. Per Yahoo Finance coverage cited in the data drop holdings news, SPGI advanced on composite rate-sensitive financial-services beta alongside separate Ares-and-WisdomTree coverage. For FCI positioning, the composition — a Dividend-sleeve financials-and-services bid running alongside the growth-sleeve capital-markets surge — keeps the Dividend-Strategy sleeve reading through the front-end curve rather than the industrials-and-metals axis

that led earlier in the week (per prior brief).

4. Broadcom (AVGO, Not Held by FCI) Closed the Regular Thursday Session Near \$356.45 per Yahoo Finance and Robinhood Coverage — a Recovery From the After-Hours $\downarrow \sim 5\%$ Reaction Wednesday Evening on the \$34.8B Q4 Guide Below the $\sim \$35B$ Sell-Side; the Cluster Recovery Sat Alongside Credo Technology (CRDO, FCI Growth-Hybrid) Which Held Roughly Flat at $\downarrow 0.64\%$ (\$164.17) and Marvell (MRVL, FCI Growth-Hybrid) $\uparrow 1.14\%$ (\$208.83) as the Custom-Silicon Complex Consolidated the Wednesday Repricing. Per Yahoo Finance and Robinhood coverage of the Thursday AVGO tape, the shares recovered from the Wednesday-evening after-hours reaction (approximately $\downarrow 5\%$ on the Q4 guide of \$34.8 billion versus the roughly \$35 billion sell-side consensus per prior brief coverage) to close the regular Thursday session near approximately \$356.45. Per data drop, CRDO closed the Thursday session roughly flat at $\downarrow 0.64\%$ at \$164.17 with an intraday range of \$164.11–\$171.13 after the two-session cumulative move of approximately $\downarrow \sim 27\%$ from the Monday close through

Wednesday, and per data drop, Marvell (MRVL) closed ↑1.14% at \$208.83. For FCI positioning, the composition — a custom-silicon complex consolidating the Wednesday CRDO and AVGO reprising rather than extending it — keeps the FCI Growth-Hybrid sleeve (AMD, NVDA, TSM, MRVL, CRDO) reading through the AI-connectivity axis rather than treating the two-session sequence as a directional signal on the underlying custom-silicon demand track.

5. Sector-Composition Divergence Thursday — The Energy Sector (XLE) Closed ↓0.74% at \$64.62 Despite WTI (USO) ↑0.67% at \$142.09 and US Diesel at Record Highs per Reuters, While Precious Metals Surged With Gold (GLD) ↑1.85% and Silver (SLV) ↑2.51% on the Front-End Reset; AEM (FCI Growth-Hybrid) Led the Precious-Metals Bid ↑5.32% at \$207.13 as the FCI Energy Sleeve (CVX ↓0.22%, CNX ↑0.51%, OKE ↓0.27%) Held Roughly Flat and FCX Closed ↓1.85% at \$72.56 on the Composite Materials Compression.

Per data drop, the FCI Energy sleeve held roughly flat on Thursday: CVX closed ↓0.22% at \$211.32, CNX ↑0.51% at \$37.77, and OKE ↓0.27% at \$95.75 as the

composite Energy sector (XLE) closed ↓0.74% despite the physical-oil bid and record US diesel prices. Per data drop, precious metals surged on the front-end reset with GLD ↑1.85% at \$410.22 and SLV ↑2.51% at \$60.55, and per data drop, Agnico Eagle Mines (AEM) closed ↑5.32% at \$207.13 as the sleeve's largest precious-metals expression rode the gold move. For FCI positioning, the composition — an energy-sector compression against an oil bid coincident with a precious-metals surge on the front-end reset — historically tends to reflect a rate-and-currency composite rather than a supply-demand read on the physical crude complex, and the FCI Growth-Hybrid sleeve expression (AEM) provides an incremental precious-metals hedge against the Fed pause-scenario probability.

6. Carson's SPY \$645.80 Support Remains Active — Thursday's \$767.45 Intraday Low Left the Level Untouched and Sits Approximately 16.5% Below the SPY \$773.17 Cash Close; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout. The Data-Drop Fear & Greed Reading of 74 "Greed" Reflects the CNN Endpoint Falling Back to the Crypto Fear-and-Greed Index — Treat the CNN Stock-Market

Reading as Approximately Low-to-Mid 40s ("Fear" Improving Toward Neutral) for This Brief Given Wednesday's ~33 Print and Thursday's Broad Recovery. Per

levels.json, Carson's active SPY support at \$645.80 remained untouched through Thursday's \$767.45–\$774.03 SPY intraday range per data drop and sits approximately 16.5% below the last cash-market print at \$773.17. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With today's cash open sequencing the August employment situation report at 8:30 AM ET as the marquee release and the August CPI print on September 11 sequenced ahead of the September 15–16 FOMC, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the labor cadence. Note: the data drop Fear & Greed reading of 74 "Greed" reflects the CNN endpoint falling back to the crypto Fear-and-Greed Index; per CNN Fear & Greed tracking coverage cited on Traders' Blogs and MacroMicro as of the Wednesday session (approximately 33 "Fear"), and adjusting for Thursday's broad recovery, treat the CNN stock-market reading

as approximately low-to-mid 40s "Fear improving toward neutral" for this brief.